Nip Group (CIMA F1 modified)

The draft statements of financial position as at 31 March 20X2 and statement of profit or loss and other comprehensive income for the year ended 31 March 20X2 for two entities, Nip and Tuck, are given below:

Statements of financial position as at 31 March 20X2

	Notes	**Nip**	**Tuck**
		£'000	£'000
Non-current assets			
Property, plant and equipment	(ii) / (v)	14,240	7,240
Investments:			
6,000,000 Ordinary shares in Tuck at cost	(i)	9,200	
Loan to Tuck	(i)	3,100	
		26,540	7,240
Current assets			
Inventories	(iv)	12,060	3,215
Trade receivables		13,400	5,710
Cash and cash equivalents		1,730	510
		27,190	9,435
Total assets		53,730	16,675
Equity			
Equity shares of £1 each		38,900	6,000
Share premium		5,520	0
Retained earnings		5,400	3,680
		49,820	9,680
Non-current liabilities: Loan from Nip		0	3,100
Current liabilities			
Trade payables		3,910	3,740
Loan interest payable		0	155
Total equity and liabilities		53,730	16,675

Nip Group continued…

Statements of profit or loss for the year ended 31 March 20X2

	Nip	**Tuck**
	£'000	£'000
Revenue	15,500	6,900
Cost of sales	(8,700)	(3,080)
Gross profit	6,800	3,820
Expenses	(1.250)	(750)
	5,550	3,070
Finance cost	(810)	(440)
	4,470	2,630
Tax	(1,250)	(230)
Profit for the year	3,490	2,400

Additional information

(i) Nip acquired all of Tuck's equity shares on 1 April 20X1 for £9,200,000 when Tuck's retained earnings were £1,280,000. Nip also advanced a 10 year loan of £3,100,000 on 1 April 20X1.

(ii) The fair value of Tuck's property, plant and equipment on 1 April 20X1 exceeded its carrying value by £1,350,000. The excess of fair value over carrying value was attributed to buildings owned by Tuck. At the date of acquisition these buildings had a remaining useful life of 15 years. Nip's accounting policy is to depreciate these buildings using the straight line basis with no residual value.

(iii) Nip carried out an impairment review of the goodwill arising on acquisition of Tuck and found that as at 31 March 20X2 the goodwill had been impaired by £80,000.

(iv) Nip and Tuck occasionally trade. During February 20X2, Nip sold Tuck goods for £520,000. Nip uses a mark-up of 100% on cost. At 31 March 20X2 all the goods remain in Tuck's closing inventory and Tuck had not paid for the goods.

(v) Nip sold a piece of machinery to Tuck on 2 April 20X1 for £95,000. The machinery had previously been used in Nip's business and had been included in Nip's property, plant and equipment at a carrying value of £75,000. The machinery had a remaining useful life of ten years at 2 April 20X1.

3. Nip Group cont…

(vi) At 31 March 20X2 £155,000 loan interest was due and had not been paid. Tuck had accrued the loan interest at the year-end but Nip had not accrued any interest income.

Required

(a) Explain how item (v) will be treated in Nip's consolidated financial statements for the year ended 31 March 20X2.

(b) Prepare the consolidated statement of profit or loss and other comprehensive income for Nip for the year ended 31 March 20X2 AND the consolidated statement of financial position as at 31 March 20X2, in accordance with the requirements of International Financial Reporting Standards.

Notes to the financial statements are not required but all workings must be shown.